

1 AN ACT relating to health savings account-qualified insurance plans.

2 ***Be it enacted by the General Assembly of the Commonwealth of Kentucky:***

3 ➔SECTION 1. A NEW SECTION OF SUBTITLE 1 OF KRS CHAPTER 304 IS
4 CREATED TO READ AS FOLLOWS:

5 **(1) As used in this section:**

6 **(a) "Cost-sharing requirement" means a:**

- 7 **1. Prohibition outright on the imposition of any deductible, copayment,**
8 **coinsurance, or other out-of-pocket expense, other than premiums,**
9 **under a health insurance policy, certificate, plan, or contract; or**
10 **2. Limitation on the amount of any deductible, copayment, coinsurance,**
11 **or other out-of-pocket expense, other than premiums, that is imposed**
12 **under a health insurance policy, certificate, plan, or contract;**

13 **(b) "Enrollee":**

- 14 **1. Means an individual who is enrolled in health insurance, whether on**
15 **an individual or a group basis; and**
16 **2. Includes any covered dependent of an individual referenced in**
17 **subparagraph 1. of this paragraph; and**

18 **(c) "Health savings account-qualified insurance plan" means a high**
19 **deductible health plan that covers individuals who may be entitled to receive**
20 **certain tax benefits under 26 U.S.C. sec. 223, as amended, with respect to**
21 **contributions made to a health savings account.**

22 **(2) If, under federal law, the application of any cost-sharing requirement in this**
23 **chapter or any other state law would cause an enrollee's health savings account-**
24 **qualified insurance plan to no longer qualify as a high deductible health plan**
25 **under 26 U.S.C. sec. 223, as amended, then the cost-sharing requirement shall**
26 **only apply to the enrollee's plan once the minimum deductible under 26 U.S.C.**
27 **sec. 223, as amended, has been satisfied.**

1 **(3) In the event of a conflict between this section and any other state law, this section**
2 **shall control.**

3 ➔SECTION 2. A NEW SECTION OF KRS CHAPTER 18A IS CREATED TO
4 READ AS FOLLOWS:

5 **Notwithstanding any provision of this chapter to the contrary, the cost-sharing**
6 **requirements in this chapter shall be subject to Section 1 of this Act.**

7 ➔Section 3. Sections 1 and 2 of this Act apply to policies, certificates, plans, and
8 contracts issued or renewed on or after the effective date of this Act.

9 ➔Section 4. The purpose of Section 1 of this Act is to protect the efficacy of
10 Health Savings Account-qualified insurance plans in this state by establishing a safe
11 harbor from state benefit mandates that would result in a health insurance policy,
12 certificate, plan, or contract losing its health savings account-qualified status under
13 federal law.

14 ➔Section 5. Section 1 of this Act may be cited as the Health Savings Account
15 State-Federal Regulatory Coordination Model Act.